



United States
Attorney's Office
Northern District of Illinois



Chicago Lab Owner Sentenced to Seven Years in Prison in Connection With \$14 Million Covid-19 Testing Fraud Scheme

Wednesday, June 18, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of Illinois

CHICAGO — The owner of a Chicago laboratory was sentenced today to seven years in federal prison for his role in a Covid-19 testing fraud scheme.

ZISHAN ALVI, 46, of Inverness, Ill., owned and operated a laboratory in Chicago that performed testing for Covid-19. In 2021 and 2022, Alvi caused tens of thousands of claims to be submitted to the U.S. Department of Health and Human Services' Health Resources and Services Administration (HRSA) for Covid-19 tests that were not performed as billed. As part of the scheme, the laboratory released negative test results to patients, even though the laboratory either had not tested the specimens or the results were inconclusive because Alvi diluted the tests to save on costs while making them unreliable. Alvi knew that the laboratory was releasing negative results for Covid-19 tests that were not performed or were inconclusive, but still caused the laboratory to submit claims to HRSA for those tests. Alvi also lied to laboratory directors to conceal his fraud. HRSA paid the laboratory more than \$14 million because of the fraudulent claims that Alvi caused to be submitted.

Alvi pleaded guilty last year to one count of wire fraud. U.S. District Judge John J. Tharp, Jr. imposed the prison sentence during a hearing today in federal court in Chicago. Judge Tharp also ordered Alvi to pay more than \$14.1 million in restitution and forfeit more than \$8 million in cash, a 2021 Range Rover HSE, a 2022 Tesla X, and a 2021 Mercedes-Benz GLB250W4, all of which were previously seized by law enforcement.

The sentence was announced by Andrew S. Boutros, United States Attorney for the Northern District of Illinois, Matthew R. Galeotti, Head of the Justice Department's Criminal Division, Douglas S. DePodesta, Special Agent-in-Charge of the Chicago Field Office of the FBI, and Mario Pinto, Special Agent-in-Charge of the Chicago Region of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). The government was represented by Assistant U.S. Attorney Jared Hasten of the

Northern District of Illinois, and Claire T. Sobczak, Trial Attorney of the Department of Justice's Criminal Division's Fraud Section.

"At the height of the Covid-19 pandemic, Zishan Alvi disregarded public health concerns in favor of greed and his own financial gain," said U.S. Attorney Boutros. "The government's pandemic-relief programs were intended to keep people safe, not provide an avenue for fraud and illegal profits. Our Office is committed to working with our law enforcement partners to root out abuse of these important programs and hold accountable those who seek to fraudulently profit from them."

"In the midst of economic uncertainty for many Americans, the defendant chose to cash in on a global pandemic by stealing millions of dollars and committing extensive fraud," said FBI SAC DePodesta. "Further, he placed patients and the public at risk by releasing false Covid-19 test results. The FBI and our dedicated partners are committed to investigating Covid con artists and ensuring they are held accountable to the fullest extent of the law."

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

Updated June 18, 2025

Topics

COVID-RELATED FRAUD

HEALTHCARE FRAUD

Components

[Criminal - Criminal Fraud Section](#) | [Federal Bureau of Investigation \(FBI\)](#) | [USAO - Illinois, Northern](#)

Related Content



PRESS RELEASE

Mid-Year Report: U.S. Attorney's Office in Chicago Dramatically Increases Federal Violent Crime and Other Prosecutions While Implementing Numerous Significant Policy Initiatives and Reforms

The United States Attorney's Office in Chicago continues to increase its federal caseload to tackle violent crime, national security threats, narcoterrorism, child exploitation, fraud, corruption, cybercrime, and other serious federal...

July 20, 2026

PRESS RELEASE

Federal Judge Sentences Man to Four Years in Prison for \$2 Million COVID-Relief Fraud

JAMES TOWNSEND schemed to fraudulently obtain more than \$2 million in small business loans under the Coronavirus Aid, Relief, and Economic Security Act (CARES Act).

July 10, 2026

PRESS RELEASE

United States Attorney Andrew S. Boutros Announces Charges Against Two Chicago-Area Defendants as Part of Department of Justice's National Healthcare Fraud Takedown

"Under my leadership, healthcare providers, gatekeepers, and others who criminally cheat the system will be vigorously investigated, prosecuted, and punished to the full extent of federal law," said U.S. Attorney...

June 23, 2026



Northern District of Illinois

